

UNIT -I Organizational Behavior

Introduction:

Organization:

Organization is a social system which consists of factors of production provides infrastructure and facilitates provides various sources to work to be done and others.

It is also defined as a group of people come together to work for individual goals as well as common goals. It is also defined as a group of people regularly working together to achieve common goals. Organisations refers as the people the resources the infrastructure environment structures individuals' groups teams and others.

Behaviour:

Behaviour is related to physical and psychological factors such as personality, perception job satisfaction values, attitude motivation interest desires actions reactions, behaviour, and others.

Behaviour is also defined as the internal and external physical and psychological factors of human beings in individual as well as group.

Organizational behaviour:

- Organizational behaviour is the study and application of knowledge about how people individuals and groups act in organisations. It does this by taking a system approach. Its purpose is to build better relationships by achieving human objectives, organizational objectives, and social objectives.
- It is also defined as organizational behaviour is concerned with the study of human behaviour at work.
- It is a study of how people or individual groups and structures effects organizational behaviour.

Meaning of Organisational Behaviour:

- Organisational Behaviour simply is a process of studying and understanding the behaviour of individuals in the organisation. It is a part of the management process which aims at improving the performance of organisations through understanding and controlling human behaviour. It is through the organisational behaviour that organisations can understand the behaviour of the people working with them. Once they get to know about their peoples, organisations can easily influence and motivating them towards achievement of goals.
- It helps to improve the relations between the people working in the organisation and increase their efficiency. There are two main factors which are studied under organisation behaviour term: Individual's nature and the organisation's nature. After understanding both the terms properly efforts are made to develop better compatibility between these two terms.

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Definitions:

- “It is the study and application of knowledge how people act and behave within the organization”. **Devis and Newstram**
- “Organizational behaviour is the understanding, prediction and management of human behaviour in organisations”. **Fred Luthans**
- “Organizational behaviour is to understand, predicting and controlling human behaviour at work.” **Callahan**
- “Organisational behaviour can be defined as the study and application of knowledge about human behaviour related to other elements of an organisation such as structure, technology and social systems.” **L. M. Prasad**

Need of Organizational Behaviour:

The significance of organisational behaviour is evident in its ability to enhance employee engagement and productivity. While structures and processes are important, it's the human element that drives performance, innovation, and overall success. The significance of organisational is as follows:

- **Understanding Human Behaviour:** It helps organizations understand why employees behave the way they do, their motivations, and their reactions to different situations.
- **Improving Employee Performance:** By understanding employee needs and motivations, organizations can create a more conducive work environment that fosters higher performance and job satisfaction.
- **Effective Leadership:** OB provides insights into effective leadership styles and their impact on employee morale and productivity.
- **Enhanced Communication:** It helps organizations improve communication channels and address potential barriers to effective communication.
- **Stronger Organizational Culture:** OB assists in creating and maintaining a positive and supportive organizational culture that fosters employee engagement and loyalty.
- **Conflict Resolution:** It offers strategies for managing and resolving conflicts, preventing negative consequences and maintaining a harmonious work environment.
- **Adaptability:** OB helps organizations adapt to changing circumstances, such as technological advancements or economic shifts.

Importance of Organizational Behaviour:

Listed below are points that highlight the importance of Organizational Behavior (OB).

- **Improved Employee Performance:** OB provides insights into how to motivate employees, create a positive work environment, and enhance job satisfaction. By understanding employee behavior, organizations can develop effective performance management systems and provide targeted training and development opportunities.

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- **Enhanced Organizational Effectiveness:** OB helps organizations to improve their overall effectiveness by fostering a positive organizational culture, promoting teamwork, and encouraging innovation. By understanding the factors that contribute to organizational success, managers can make informed decisions and implement strategies that align with the organization's goals.
- **Better Decision Making:** OB provides a framework for understanding the cognitive processes that influence decision-making. By studying decision-making biases and heuristics, managers can make more informed and rational choices.
- **Improved Communication:** OB helps to improve communication within organizations by understanding the barriers to effective communication and developing strategies to overcome them. By fostering open and honest communication, organizations can enhance collaboration, reduce misunderstandings, and improve employee morale.
- **Enhanced Leadership:** OB provides insights into the skills and behaviors that effective leaders possess. By understanding the principles of leadership, managers can develop their own leadership abilities and inspire their teams to achieve their goals.

Nature of Organizational Behaviour:

Organizational Behaviour is a recent origin and developing as a separate field of study. It has properly progressed in the latter half of the twentieth century. Its present nature may be discussed as under.

1. A separate field of study:

Organizational Behaviour is a separate field of study. Many research and analysis have been done in this field. But it is not still accepted as a science. There is no foundation of basic concepts that may guide its development as a science. Therefore, it will be appropriate to call it a field of study rather than discipline.

2. It is an applied science:

The aim of OB is to solve problems of organizations related with human behaviour aspect. Therefore, applied research are concentrated, in place of fundamental research. Though many of the research may be carried in laboratory, but the behaviour of an individual cannot be analysed so. Therefore, Organizational Behaviour is both science as well as art.

3. Goal Oriented:

Since OB is applied science, it is oriented towards organizational goals. Sometimes there may be conflict of organizational goals with individual goals. In that case, both the objectives are achieved simultaneously.

4. Interdisciplinary Approach:

Organizational Behaviour is interdisciplinary in nature. It is based on behavioural and social sciences that contributes to the subject. It applies from these disciplines ideas that will improve the relationships between people and organization.

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5. **Focus Attention On people:** OB focus the attention on people. It is based on the concept that need and motivation of the people should be given priority. If the people are given proper environment and working condition, they are creative, independent, and capable of achieving organizational objectives.
6. **Normative Science:** OB is a normative science. It just not only defines the cause-and-effect relationship but also suggests, how the results of various research can be applied to get organizational results. What acceptable by society is not defines positive science, but it is done by normative science.
7. **Human Tool:**
OB is a human tool for human benefit. It helps in understanding and predicting the behaviour of individuals. It provides generalisations that managers can use to anticipate the effects of certain actions on human behaviour.

Scope of Organizational Behaviour:

Organizational behaviour is the study of human behaviour in an organizational setting. It involves understanding, predicting, and managing human behaviour individually or in a group within an organization. There are four elements in an internal and external organization: people, structure, technology, and social system.

1. **People:**
The first element of internal organization is People consisting of individuals and groups. Groups may be official/ unofficial, formal/ informal, and large/ small. The organization's objectives and goals exist to serve the people in the organization.
2. **Structure:**
Structure in an organization determines the sole relationship of people. In an organization, the structure relates to power and duties where one has the authority and others must obey them.
3. **Technology:**
Technology is the third element in the internal organization. It covers the physical and economic conditions of the people working. The technology depends on the organization's nature, which influences the working conditions.
4. **Social System:**
A social system is the only external environment and a final element in an organization. Therefore, it has the power to influence people's attitudes and working conditions.
5. **Individuals:** Organizations are the associations of individuals. Individuals differ in many respects. The study of individuals, therefore, includes aspects such as personality, perception, attitudes, values, job satisfaction, learning and motivation.
6. **Groups of Individuals**
Groups include aspects such as group dynamics, group conflicts, communication, leadership, power and politics and the like.

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Framework of Organizational Behaviour:

There are **three** main theoretical frameworks in the discipline of Organizational Behavior

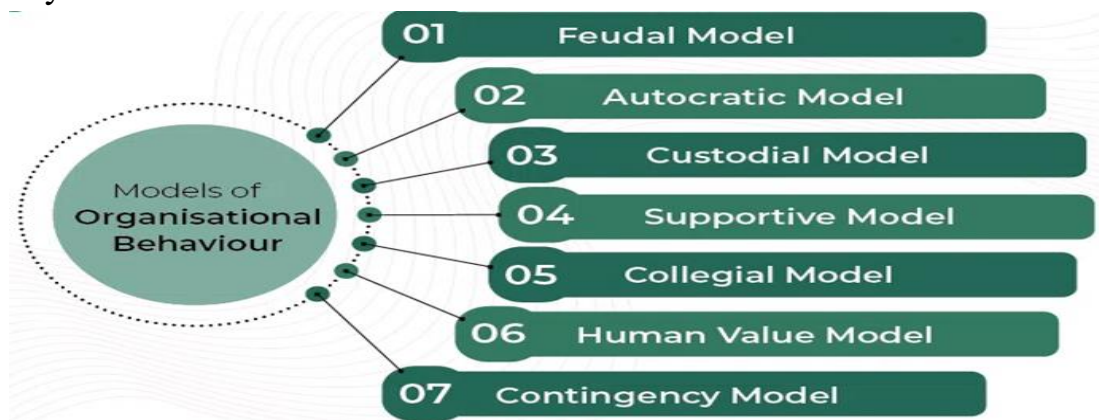
- Behavioral Framework
- Cognitive Framework
- Social Cognitive Framework

1. **Behavioral Framework:** This framework focuses on the ‘Stimulus-Response’ pair. A specific stimulus gets associated with a particular kind of response in the minds of individuals. The fact that is pertinent to Organizational Behavior is that the responses can be conditioned/taught. Ivan Pavlov, a Soviet researcher, is an exponent of ‘Classical conditioning’, In his famous experiment with a dog, he showed that the dog salivated when it was presented with meat powder. This is an unconditional response to an unconditional stimulus. The dog did not salivate when he rang a bell. Pavlov then started ringing the bell whenever he gave meat powder to the dog. After many repetitions, it was found that the dog salivated when the bell rang, even if meat powder was not presented. This is a conditioned response, and this type of conditioning is called ‘classical conditioning’. Many critics believe that classical conditioning is limited in its applicability to involuntary responses like salivation, increase in heartbeat rate etc., and is hence not very useful in OB. In ‘operant conditioning’ developed by B.F.Skinner (1950), the response to a stimulus is based on the consequences of that response (in the past). Consequences can be of many types: something positive can be given (for example, a salary increment), something positive can be taken away (discontinuance of perks), something negative can be introduced (a punishment) or something negative can be discontinued (revoke a suspension). OB theories suggest that by careful use of these consequences (reinforcements and punishments); management can elicit desired behavior from employees.
2. **Cognitive Framework:** In this framework, cognition precedes behavior. It is based on the idea that an individual knows and expects that a specific action will lead to a specific consequence. He is conscious about it. He is thinking about the goal and the kind of behavior that can lead to the achievement of that goal. ‘Motivation’ is one of the concepts of OB in which cognitive framework is applied.
3. **Social Cognitive Framework:** This framework adds to the cognitive and behavioral aspects and introduces environment as an important determinant in this framework. In our day-to-day life, many of our responses are the outcomes of observation and imitation. It is especially so for children. Children observe others very closely and often try to mimic what they see. If they see someone being rewarded/punished for a particular type of behavior, they are likely to imitate the behavior. This is true of employees in an organization as well, and hence this framework is an essential component of the discipline of OB.

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Organisational Behaviour Models:

Organisational Behaviour Models are defined as the structural models that describe the relationship between the employees at different levels in the organisation. Organisational models reflect the overall behaviour of management and people altogether. The behaviour of employees is analysed into three levels in the organisational model. These three levels are individual level, group level and organisational level. Cognitive, behavioural and social learning frameworks are the three theoretical approaches considered in the organisational behaviour model. This study describes how organisations are influenced by human behaviours and how the conduct of people is affected by the organisations. Below are models of organisational behaviour that describe how organisations behave to optimise their productivity.



Types of Models of Organisational Behaviour:

1. Feudal Model

Feudal model is defined as a type of model that considers the employees working in an organisation as an inferior element of the organisation. The working employees were given less value in the feudal model. For various decisions and actions in the company, the desires and values of people were not considered. This model was majorly called Theory X, in which the procedures, actions, policies and rules were considered with higher priority and superior to human beings. For building the motivation among employees' money and retrenchment approach was used. The model entirely concentrated only on formal organisation rather than human and social values.

2. Autocratic Model

The autocratic Model is defined as a type of organisational model that depends upon power, strength and formal authority. This model majorly depends on power. The working employees need to follow the orders. The lower-level employees have less control over the assigned duties as compared to upper-level authorities. Major decisions are made by the higher-level authorities only. The basic principle that is followed in the autocratic model is that owners of the company or higher managerial authorities have higher expertise in business, whereas lower-level employees have fewer skills and experience.

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3. Custodial Model: Custodial Model is defined as a type of model where economic resources are considered as the root level. In this model, the employees and working professionals of the company are adapted to the benefits and security provided by the company as every employee considers security as the major parameter while working. The firms with more resources majorly adapt this model as the model is dependent upon the availability of high economic resources. The custodial model is based on rewards. It overcomes the limitations of the autocratic model. In most companies, more benefits such as healthcare benefits and corporate cars are also being provided along with security.

4. Supportive Model: As the name itself suggests, the supportive model is defined as a type of model that considers leadership as its root level. In this model, the employees are oriented towards their participation and job performance. This model helps employees to improve their overall performance and enhance learning. Public sector organisations majorly follow a supportive model because it is based on leadership. In this model more importance is given to job satisfaction, friendly relationships between superiors and subordinates, and psychological needs of the employees. The role of the higher manager is to get the work done by helping their employees.

5. Collegial Model

The collegial model is a further extension of the supportive model. The word collegial means bodies of different individuals working towards a common goal. The partnership is the root level of the collegial model the approach adopted is the teamwork approach. The workers in the collegial model are satisfied in their job roles and are committed towards the overall growth of the organisation. It is the responsibility of the manager to create a healthy and positive workplace for his employees. The collegial model works more effectively in finding new approaches such as research and development, marketing teams, technologies and software, etc.

6. Human Value Model

The human value model is defined as a model that gives more importance to human values. This model is opposite to that of the feudal model. The human values of the employees were more appreciated than the economic values. The employees working in an organisation work to fulfil their social and psychological needs rather than focusing only on economic needs. This model is for human dignity.

7. Contingency Model

Contingency Model is defined as a complex model. The contingency Model of organisational behaviour assumes the complex variables that consist of the behaviour of individuals, groups and structure. Therefore, this model meets all the challenges for the growth of the organisation. To demonstrate the contingency model Theory Z is being developed. Contingency Model is also known as a hybrid model. The contingency Model guarantees the promotion and long-term employment opportunities for the employees working in the organisation.